

A New Entrant to the Game

After many regulatory hurdles and much legal wrangling, MCX-SX finally launched its equity trading platform in February 2013. Market conditions were far from ideal for a third stock exchange, though Jignesh Shah & Co were forever arguing that investors were getting a raw deal from incumbents BSE and NSE. Jignesh was convinced that the entry of his exchange would help grow the number of investors in the country. Not for once did I believe that theory. Not that I doubted Shah's acumen or his zeal. I mean, people don't start investing in shares just because there is a new exchange on the block. To me it appeared more likely that as the economy grew and more companies raised capital, the universe of investors would expand, benefiting stock exchanges like MCX-SX. It would not be the other way round, with a new exchange encouraging companies to go public and fire up the economy! At best, MCX-SX would be able to snatch business from rival exchanges by offering incentives to traders and investors. But that would not be the same as growing the market.

The rivals had deeper pockets and were well placed to promptly match any inducements that MCX-SX may have to offer. The broking industry was in a terrible shape because the client base had shrunk considerably after the meltdown of 2008, and brokerage firms were poaching each other's clients by offering ridiculously low rates. They still could not win client loyalty as the client would trade with whichever broker offered him the best rate. Of course, the profit margins for stock exchanges were much fatter – 35-40 per cent – than for brokerages. Some market observers were worried